

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 1
Honorable Eunice Lee, Presiding
TBD, Courtroom Clerk
191 North First Street, San Jose, CA 95113

DATE: June 4, 2026 TIME: 9:00 A.M. and 9:01 A.M.

To contest the ruling, call the Court at (408) 808-6856 before 4:00 P.M.
Make sure to also let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court, Rule 3.1308(a)(1) and Local Rule 8D.

****Please specify the issue to be contested when calling the Court and counsel****

LAW AND MOTION TENTATIVE RULINGS

LINE 5	24CV441593	Fuheng, Inc. et al vs Zihan Liu	Motion for Attorney's Fees and Sanctions Scroll down to Line 5 for Tentative Ruling.
LINE 6	24CV469921	Aparna Palaparthi vs Padma Kastury et al	Petition to Compel Arbitration Scroll down to Line 6 for Tentative Ruling.

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9:01 A.M.			
LINE 1	17CV313165	Ivy Mei vs Renuer Incorporated et al	Order of Examination Parties to appear.
LINE 2	22CV392899	Sierra Lumber & Fence Co., Inc. vs Aldolfina Gonzalez et al	Return of Warrant Parties to appear.
LINE 3	23CV412237	Stephen and Kim McNulty vs Jeffrey Nguyen et al	Motion to Withdraw as Attorney & Motion to Lift Stay Parties to appear.

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9:00 A.M.

Calendar Lines # 3

Case Name Jeremy Williams vs Ford Motor Company et al

Case No. 24CV447980

Motion for Summary Judgment/Adjudication

Before the court is Ford Motor Company's motion for summary judgment/ adjudication. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

In this action, plaintiff Jeremy K. Williams ("Plaintiff") alleges, among other things, defendant Ford Motor Company ("Ford") and others violated the Song-Beverly Consumer Warranty Act ("Act") with regard to a 2024 Ford Mustang vehicle ("Vehicle"). In particular, Plaintiff alleges the Vehicle suffered a Transmission Defect. (Complaint, ¶¶24 – 35).

On September 24, 2024, Plaintiff filed a complaint against defendant Ford and others asserting causes of action for:

- (1) Violation of subdivision (d) of Civil Code section 1793.2
- (2) Violation of subdivision (b) of Civil Code section 1793.2
- (3) Violation of subdivision (a)(3) of Civil Code section 1793.2
- (4) Breach of the Implied Warranty of Merchantability
- (5) Negligent Repair
- (6) Fraudulent Inducement - Concealment

On November 1, 2024, defendant Ford filed an answer to Plaintiff's complaint.

On March 16, 2026, defendant Ford filed the motion now before the court, a motion for summary judgment/ adjudication of Plaintiff's complaint.

On March 19, 2026, the court issued an order advancing the hearing date of defendant Ford's motion for summary judgment/ adjudication from November 17, 2026 to June 4, 2026.

On March 20, 2026, defendant Ford filed and served (electronically and personally) Plaintiff with amended notice of its motion for summary judgment/ adjudication.

Based on a hearing date of June 4, 2026, Plaintiff's opposition was due May 15, 2026. (See Code Civ. Proc., §437c, subd. (b)(2)—"An opposition to the motion shall be served and filed not less than 20 days preceding the noticed or continued date of hearing.") Plaintiff has not filed any timely opposition.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 437c(a)(1), "A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." "A defendant or cross-defendant has met that party's burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc., §437c, subd. (p)(2)).

"The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., §437c, subd. (c)).

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843). In analyzing motions for summary judgment or adjudication, courts must apply a three-step analysis: “(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue.” (*Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294). “[T]he initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (*Scalf v. D. B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1519). A defendant moving for summary judgment or summary adjudication “has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2)). If the moving party fails to carry its burden, the inquiry is over, and the motion must be denied. (See *Id.*; see also *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468). Even if the moving party does carry its burden, the non-moving party will still defeat the motion by presenting evidence of a triable issue of material fact. (*Aguilar, supra*, 25 Cal.4th at 849-50). Therefore, summary judgment or adjudication is granted when, after the Court’s consideration of the evidence set forth in the papers and all reasonable inferences accordingly, no triable issues of fact exist and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc. § 437c(c); *Villa v. McFarren* (1995) 35 Cal.App.4th 733, 741).

To meet this burden of showing a cause of action cannot be established, a defendant must show not only “that the plaintiff *does not possess* needed evidence” but also that “the plaintiff *cannot reasonably obtain* needed evidence.” (*Aguilar, supra*, 25 Cal.4th at p. 854)(emphasis added). It is insufficient for the defendant to merely point out the absence of evidence. (*Gaggero v. Yura* (2003) 108 Cal.App.4th 884, 891). The defendant “must also produce evidence that the plaintiff cannot reasonably obtain evidence to support his or her claim.” (*Id.*). The supporting evidence can be in the form of affidavits, declarations, admissions, depositions, answers to interrogatories, and matters of which judicial notice may be taken. (*Aguilar, supra*, 25 Cal.4th at p. 855). “Once the defendant. . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2)). The plaintiff may not merely rely on allegations or denials of its pleadings to show that a triable issue of material fact exists, but instead, “shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action.” (*Id.*) “If the plaintiff cannot do so, summary judgment should be granted.” (*Avivi v. Centro Medico Urgente Medical Center* (2008) 159 Cal.App.4th 463, 467).

III. ANALYSIS

A. FIRST CAUSE OF ACTION

As to the first three causes of action of Plaintiff’s complaint, defendant Ford acknowledges:

A plaintiff pursuing an action under the Act has the burden to prove that (1) the vehicle had a nonconformity covered by the express warranty that substantially impaired the use, value or safety of the vehicle (the nonconformity element); (2) the vehicle was presented to an authorized representative of the manufacturer of the vehicle for repair (the presentation element); and (3) the manufacturer or his representative did not repair the nonconformity after a reasonable number of repair attempts (the failure to repair element). (Civ. Code, § 1793.2; *Ibrahim v. Ford Motor Co.* (1989) 214 Cal. App. 3d 878, 886-887 [263 Cal. Rptr. 64]).(*Oregel v. American Isuzu Motors, Inc.* (2001) 90 Cal.App.4th 1094, 1101).

Specifically with regard to the third element, defendant Ford cites *Silvio v. Ford Motor Co.* (2003) 109 Cal.App.4th 1205, 1208 (*Silvio*) where the court explained:

The statute requires the manufacturer to afford the specified remedies of restitution or replacement if that manufacturer is unable to repair the vehicle "after a reasonable number of attempts." "Attempts" is plural.

The statute does not require the manufacturer to make restitution or replace a vehicle if it has had only one opportunity to repair that vehicle.

Here, defendant Ford proffers evidence that there was only one warranty repair on the Vehicle.¹ Pursuant to *Silvio*, one attempt does not trigger defendant Ford's obligation to make restitution or replace the Vehicle under the Act. Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

B. SECOND CAUSE OF ACTION

Civil Code section 1793.2, subdivision (b), states, in relevant part, "the goods shall be serviced or repaired so as to conform to the applicable warranties within 30 days." Here, defendant Ford proffers evidence that the subject Vehicle was in service for no more than 15 days, not in violation of the Act.² Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

C. THIRD CAUSE OF ACTION

Civil Code section 1793.2, subdivision (a)(3), states, "Every manufacturer of consumer goods sold in this state and for which the manufacturer has made an express warranty shall . . . Make available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period."

Defendant Ford proffers evidence that the repair records do not indicate Ford failed to make service literature and replacement parts available to authorized service and repair facilities.³ Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

D. FOURTH CAUSE OF ACTION

Under the implied merchantability warranty, "every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable." (§ 1792). The warranty "arises by operation of law" and therefore applies despite its omission from a purchase contract. (*Mega RV Corp. v. HWH Corp.* (2014) 225 Cal.App.4th 1318, 1330 [170 Cal. Rptr. 3d 861]; see *American Suzuki Motor Corp. v. Superior Court* (1995) 37 Cal.App.4th 1291, 1295 [44 Cal. Rptr. 2d 526] (*American Suzuki*)). Merchantability, as pertinent here, means that the goods "[p]ass without objection in the trade under the contract description," and are "fit for the ordinary purposes for which such goods are used." (§ 1791.1, subd. (a)). (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1545 (*Brand*)).

A "core test of merchantability is fitness for the ordinary purpose for which such goods are used." (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1303 [95 Cal. Rptr. 3d 285] (*Mexia*)). "Such fitness is shown if the product 'is "in safe condition and substantially free of defects"' [Citation.]" (*Ibid.*; see *American Suzuki, supra*, 37 Cal.App.4th at p. 1296 [implied warranty does not promise to fulfill buyer's expectations, but provides instead for minimum level of quality]). Thus, a new car need not "be perfect in every detail"; rather, its implied merchantability "requires only that a vehicle be reasonably suited for ordinary use." (*Keegan v. American Honda Motor Co., Inc.* (C.D.Cal. 2012) 838 F.Supp.2d 929, 945). (*Brand, supra*, 226 Cal.App.4th at p. 1546).

¹ See Ford Motor Company's Separate Statement of Undisputed Material Facts in Support of Motion for Summary Judgment/ Adjudication ("Ford UMF"), Fact Nos. 5, 6, and 10.

² See Ford UMF, Fact No. 6, 10, and 11.

³ See Ford UMF, Fact No. 12.

Here, defendant Ford proffers evidence that the Vehicle was presented once for a noise when closing the door and contends this does not render the Vehicle unfit for its ordinary purpose, as a matter of law.⁴ Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

E. FIFTH CAUSE OF ACTION

Plaintiff's fifth cause of action alleges negligent repair. Defendant Ford proffers evidence that the Vehicle was presented once for a noise when closing the door and repair of this issue was made with the subject Vehicle being in for service no more than 15 days.⁵ Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

F. SIXTH CAUSE OF ACTION

Plaintiff's sixth cause of action alleges fraudulent concealment of the Transmission Defect. Defendant Ford proffers evidence that Plaintiff did not present the Vehicle for a single transmission complaint or repairs.⁶ In the absence of a transmission defect, defendant Ford contends there can be no fraudulent concealment of such a defect. Plaintiff does not proffer any evidence in opposition which would create a triable issue of material fact.

As discussed above, the court finds defendant Ford has met its initial burden of showing that the causes of action asserted in Plaintiff's complaint have no merit. Having filed no opposition, Plaintiff has failed to show that a triable issue of one or more material facts exists.

IV. CONCLUSION

Based on the foregoing, Defendant Ford's motion for summary judgment as to Cause of Actions 1 through 6 is GRANTED. The Court will prepare the formal Order.

Calendar Lines # 5

Case Name Fuheng, Inc. et al vs Zihan Liu

Case No. 24CV441593

Motion for Attorney's Fees and Sanctions

Before the court is Plaintiffs Fuheng, Inc.'s Motion for Attorney's Fees and Sanctions against Defendant Zihan Liu. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

On November 13, 2025, Plaintiffs Fuheng, Inc. filed a Motion for Attorney's Fees and Sanctions against Defendant Zihan Liu. Subsequently, on December 26, 2025, the plaintiff filed a proof of service of motion indicating U.S. Mail service to the defendant on November 13, 2025. Plaintiffs seeks a total of \$13,387.50 based on \$8,925.00 in attorney's fees and \$4,462.50 based on a 1.5 multiplier of the lodestar.

Defendant Liu filed opposition papers on May 26, 2026, and provided proof of service indicating U.S. mail service on that same day. Per Code of Civil Procedure section 1005(b), opposition papers were due on May 21, 2026.

Plaintiff filed a supplemental declaration by Andy Yang on May 19, 2026 and a reply brief with attached Exhibits A-B on May 26, 2026 that was accompanied by a proof of service on that same day by way of U.S. mail service.

⁴ See Ford UMF, Fact Nos. 6, 7, and 10.

⁵ See Ford UMF, Fact Nos. 6 and 10.

⁶ See Ford UMF, Fact Nos. 6, 8, and 9.

The Court has carefully reviewed: Plaintiff's notice of motion and memorandum of points and authorities (totaling 5 pages); Declaration of Andy Yang in support of the motion (totaling 3 pages); Supplemental Declaration of Andy Yang in support of Plaintiff's motion (totaling 11 pages); Defendant Zihan Liu's Opposition (totaling 4 pages); Plaintiff's Replay Brief and attached Exhibits A-B (totaling 13 pages); the proofs of services; and the pleadings.

II. LEGAL STANDARD

A. PROCEDURAL VIOLATION

The Court notes procedural violation by the defendant. Defendant Liu filed opposition papers on May 26, 2026 with a proof of service showing U.S. mail service on that same day. Per Code of Civil Procedure section 1005(b) opposition papers were to be filed by May 21, 2026. The papers were five days late.

California Rules of Court, rule 3.1300, subdivision (d) states, "No paper may be rejected for filing on the ground that it was untimely submitted for filing. If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must so indicate." Here, the Court balances the totality of circumstances, including judicial economy to avoid the expenditure of any further judicial resources, the court will look past the procedural violations and consider the motion and opposition on its merits. However, the defendant is hereby admonished to comply with Rule of Court and Code of Civil Procedure. Any future violations may result in the court's refusal to consider untimely filed papers.

B. ATTORNEY'S FEES AND 21-DAY SAFE HARBOR PROVISION

California Code of Civil Procedure section 425.16 provides that: "If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney's fees to a plaintiff prevailing on the motion, pursuant to Section 128.5." (Code Civ. Proc. § 425.16(c)(1).)

Code of Civil Procedure Section 128.5 provides that "[a] trial court may order a party, the party's attorney, or both, to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay." (Cal. Code of Civ. Proc. §128.5(a).) "Actions or tactics" include, but are not limited to, the making or opposing of motions or the filing and service of a complaint, cross-complaint, answer, or other responsive pleading." (Cal. Code of Civ. Proc. §128.5(b)(1).) "Frivolous" means totally and completely without merit or for the sole purpose of harassing an opposing party." (Cal. Code of Civ. Proc. §128.5(b)(2)). "[A] party seeking sanctions under section[] 128.5 . . . must follow a two-step procedure." (*Transcon Financial, Inc. v. Reid & Hellyer, APC* (2022) 81 Cal.App.5th 547, 550). "If the alleged action or tactic is the making or opposing of a written motion or the filing and service of a complaint, cross-complaint, answer, or other responsive pleading that can be withdrawn or appropriately corrected, a notice of motion shall be served as provided in Section 1010, but shall not be filed with or presented to the court, unless 21 days after service of the motion or any other period as the court may prescribe, the challenged action or tactic is not withdrawn or appropriately corrected." (Cal. Code of Civ. Proc. § 128.5(b)).

Code of Civil Procedure Section 128.7 provides that a court may impose sanctions on a party or attorney that presents a pleading, petition, motion, or other similar papers in the following circumstances:

- (1) the document is presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation;
- (2) the claims, defenses, and other legal contentions therein are not warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law;
- (3) the allegations and other factual contentions have no evidentiary support;
- (4) the denials of factual contentions are not warranted on the evidence.

Section 128.7 permits the Court to impose monetary sanctions on an attorney or an unrepresented party that violates any one of these requirements. (*Eichenbaum v. Alon* (2003) 106 Cal App 4th 967, 976). In addition, section 128.7 does not require a finding of subjective bad faith; instead it requires only that the Court find that the conduct be objectively unreasonable. (*In re Marriage of Reese & Guy* (1999) 73 Cal. App. 4th 1214, 1221). A court *may* impose sanctions if it concludes a pleading was filed for an improper purpose or was indisputably without merit, either legally or factually. (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 189–190). A claim is factually frivolous if it is “not well grounded in fact” and is legally frivolous if it is “not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law.” (*Ibid.*). In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. (*Ibid.*). A claim is objectively unreasonable if “any reasonable attorney would agree that [it] is totally and completely without merit.”⁷ (*Ibid.*). However, “section 128.7 sanctions should be ‘made with restraint’ [Citation], and are not mandatory even if a claim is frivolous.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428. at 448). Additionally, section 128.7(c)(1) requires that a motion for sanctions under 128.7 be made separately from other motions and notice of motion must comply with the safe harbor provision.

“‘[T]he moving party must serve on the offending party a motion for sanctions. Service of the motion on the offending party begins a [21]-day safe harbor period during which the sanctions motion may not be filed with the court. During the safe harbor period, the offending party may withdraw the improper pleading and thereby avoid sanctions. If the pleading is withdrawn, the motion for sanctions may not be filed with the court. If the pleading is not withdrawn during the safe harbor period, the motion for sanctions may then be filed.’ [Citation.]” (*Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 698). “The ‘21 days is not a notice period. . . It defines when the target of a sanctions motion can act without penalty and withdraw’ an objectionable document.” (*Transcon Financial, Inc., supra*, 81 Cal.App.5th at pp.550–551). “[T]he ‘sanctions motion cannot be filed until the 22nd day after service of the motion, i.e., after the 21-day safe harbor period expires.’ [Citation.]” (*Id.* at p.551). “Failure to comply with the safe harbor provisions ‘precludes an award of sanctions.’ [Citation.]” (*Ibid.*).

III. ANALYSIS

Plaintiffs seeks sanctions against Defendant Liu and her former counsel of record, James L. Arrasmith pursuant to Code of Civil Procedure section 128.5 and 128.7. Plaintiff filed the present motion after defendant filed a second special motion to strike the plaintiff's Complaint under Code of Civil Procedure section 425.16 (anti-SLAPP).⁸ Plaintiff counsel Andy Yang attests that on October 20, 2025, sending an email to the defendant's then attorneys Tommy J. Hogan and James L. Arrasmith confirming service of Plaintiff's Motion for Attorney's Fees under the safe-harbor provision, including that the anti-SLAAP filing was untimely as it was filed more than a year after the Complaint was served in violation of Code of Civil Procedure section 425.16(f); successive as the defendant filed a first anti-SLAPP motion, which the Court heard on January 23, 2025 and denied the motion in substantial part⁹; and

⁷ Code of Civil Procedure section 128.7 was enacted by the legislature based on Federal Rules of Civil Procedure, 28 U.S.C. rule 11 as amended in 1993. (*Musaelian v. Adams* (2009) 45 Cal.4th 512, 518, fn. 2). As a result, federal case law construing rule 11 is persuasive authority on the meaning of section 128.7. (*Guillemin v. Stein* (2002) 104 Cal.App.4th 156, 168). Under rule 11, even though an action may not be frivolous when it is filed, it may become so if later-acquired evidence refutes the findings of a pre-filing investigation and the attorney continues to file papers supporting the client's claims. (*Childs v. State Farm Mut. Auto. Ins. Co.* (5th Cir.1994) 29 F.3d 1018, 1025). As a result, an attorney cannot “just cling tenaciously to the investigation he had done at the outset of the litigation and bury his head in the sand.” (*Ibid.*) This requires an attorney to conduct a reasonable inquiry to determine if his or her client's claim was well-grounded in fact and to take into account the adverse party's evidence. (*Ibid.*).

⁸ Defendant's Special Motion to Strike the plaintiff's Complaint pursuant to Code of Civil Procedure section 425.16 (anti-SLAPP) came on for hearing on June 2, 2026. The matter having been submitted, the Court DENIED the motion on the grounds that Defendant Liu has cited no legal authority, factual basis, or good cause for this court to entertain a second special motion to strike directed at plaintiffs' complaint.

⁹ Plaintiffs causes of actions, including libel, trade libel, false light, invasion of privacy, and related torts to proceed. The Complaint has not materially been amended since the January 27, 2025.

improper as the motion is frivolous and attempts to re-litigate issues already decided. (Declaration of Yang, 1-2). Parties met-and-conferred October 31, 2025 and discussed that the plaintiff would pursue the motion for attorney's fees and sanctions unless the defendant withdrew the anti-SLAPP motion within 21 days of service of this motion. (*Id.*, at p.2; Defendant's motion, p. 2). Defendant refused to withdraw its motion. The plaintiff filed this present motion on November 13, 2025. (*Id.*).

Plaintiffs seek \$8,925.00 in sanctions. Plaintiff's counsel Andy Yang attests that his hourly rate for purposes of this motion is \$350.00 and asserts he spent a total of 25.5 hours on tasks, including: reviewing the defendant's successive anti-SLAPP motion and comparing the prior anti-SLAPP ruling in January 2025 to the operative pleadings; conducting legal research on the motion; preparing for the motion; meeting-and-conferring in compliance with safe-harbor provisions; preparing declarations, proof of service, preparing an opposition; reviewing the docket and case history; preparing for the June 2, 2026 special motion to strike; and preparing a supplemental declaration and fee calculation. (Plaintiff's Supplemental Declaration of Yang, p. 3-4).

In addition to the attorney's fees, Plaintiff seeks a 1.5 multiplier in the amount of \$4,462.50 to the lodestar amount of \$8,925.00 on the grounds that he represents the plaintiffs on a contingency basis and absorbed the risks of delayed or no payment. (*Id.*). Plaintiff argues that the defendant relitigated the same anti-SLAPP issues that were previously successful. (*Id.*). Further, the defendant filed a motion to set aside/vacate at \$10,400.00 attorney's fees award that the Honorable Shella Deen ordered on April 17, 2025¹⁰ that was rejected on March 16, 2026. (*Id.*). In total, the plaintiffs seek \$13,387.50 in attorney's fees and sanctions.

Defendant argues that the motion for sanctions is deficient for multiple reasons: plaintiff has failed to prove that the motion was frivolous, improper the instant motion is procedurally flawed as Plaintiff did not comply with the 21 day safe harbor provision under Code of Civil Procedure section 128.5(f). Defendant further argues that the Anti-SLAPP motion was brought in good faith. (Defendant's opposition, p.2-3).

Plaintiff has shown compliance with the 21-day safe harbor provision and showed that there was no new information from the special motion. On June 2, 2026, the defendant's special motion to strike plaintiff's complaint Pursuant to Code of Civil Procedure section 425.16 (anti-SLAPP) was denied. The Court will award attorney's fees based on the procedural history, but upon review of the filing makes the following deductions: 2.5 hours for legal research regarding successive anti-SLAPP motions; 2.2 hours for preparing the sanction motion; 1 hour for preparing proof of service and filing documents; 3.5 hours for drafting an opposition motion; 1 hour for reviewing the docket and procedural history; and 1.5 hours for supplemental declaration. The Plaintiff also sought \$350.00 for 1 hour allocated to "Attend June 2, 2026 anti-SLAPP hearing." The Court denies and deducts this task on the grounds that no parties appeared for the June 2 hearing and the Court adopted its tentative order that was unchallenged. Counsel also seeks \$350.00 for 1 hour of anticipated cost to "prepare for and attend June 4, 2026 fee/sanctions hearing," which the Court will deny.

IV. CONCLUSION

Based on the foregoing, Plaintiff's request for attorney's fees in the amount of \$8,925.00 is DENIED. The Court will award \$4,130.00 in attorney's fees. The requested 1.5 multiplier of \$4,462.50 is DENIED. The attorney's fee award shall be paid within 30 days of service of the formal Order. The Court will prepare the Order.

¹⁰ On April 17, 2025, the Honorable Shella Deen awarded Plaintiffs \$10,400.00 in attorney's fees pursuant to Code of Civil Procedure section 425.16 after granting Plaintiffs' anti-SLAPP motion as to Defendant Liu's malicious prosecution claim.

Calendar Lines # 6
Case Name Aparna Palaparathi vs Padma Kastury et al
Case No. 24CV469921
Petition to Compel Arbitration Before the court is Defendant Genista Biosciences Inc.’s petition to compel arbitration and stay the action pending arbitration. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> This action arises from an intra-family dispute regarding a family-owned business, Genista Biosciences Inc. (“Genista”), founded in 2009 by sisters-in-law, Plaintiff Aparna Palaparathi (“Aparna”) and Defendant Padma Katsury (“Padma”). Plaintiffs Aparna Palaparathi and Ravi Palaparathi’s (“Ravi”) (collectively “Plaintiffs”) filed a First Amended Complaint (“FAC”) which includes both direct and derivative claims on behalf of Genista. Plaintiffs’ claims relate in whole or in part to Aparna’s employment with Genista. In May 2025, Aparna transferred half her shares to her husband Ravi, who joins this action as a minority shareholder. (FAC at ¶ 16). According to the FAC, Aparna and Padma agreed that they would take reduced compensation for their employment with the expectation that the money would be used for research and development, to preserve capital, and increase Genista’s value. (FAC at ¶ 17). Aparna and Padma agreed that they would later be compensated with “catch-up payment.” (<i>Ibid.</i>). Aparna alleges she never received “catch-up payment” and that her salary was reduced below the threshold required for exempt employees. (FAC at ¶ 19). Aparna maintains she was not paid overtime, not provided accurate pay stubs, deprived of meal and rest breaks, paid less than minimum wage, and deprived of paid sick leave. (<i>Ibid.</i>). Aparna further alleges Padma has violated the Shareholder Agreement by purporting to add Arun and Kiran to the Board of Directors, attempting to approve and accept the Term Sheet for third-party investment that would dilute the shareholder’s ownership interest, attempting to change Genista’s articles of incorporation and Bylaws, and attempting to convert Genista to a Delaware corporation. (FAC at ¶ 83). Aparna also alleges Defendants have refused to allow her to inspect the books and records of Genista “and have withheld and concealed corporate records, including those pertaining to the Investor transaction[,]” that would be detrimental to her continued employment. (FAC at ¶¶ 89, 46, 48). Defendants Genista, Padma Katsury, Arun Katsury (“Arun”), and Kiran Katsury (“Kiran”) (collectively “Defendants”) move to compel arbitration of all but three causes of action brought by Ravi based on identical Arbitration Agreements separately executed in August 2024. Having reviewed the Agreements and evidence, the Court concludes that the motion should be granted. <u>II. LEGAL STANDARD</u> Defendants maintain the Federal Arbitration Act governs the Arbitration Agreements. The Agreements provide: “Any arbitration proceeding under this Agreement shall proceed under and be governed by the Federal Arbitration Act (“FAA”) because Employee, Worksite Employer, and Rippling PEO are engaged in interstate commerce.” (Declaration of Arun Katsury [“Katsury Decl.”], Exs. A-D). In addition, “[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA.” (<i>EEOC v. Waffle House, Inc.</i> (2002) 534 U.S. 279, 289). Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (<i>Chiron Corp. v. Ortho Diagnostic Systems, Inc.</i> (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply

“ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170).

III. ANALYSIS

A. VALID AGREEMENTS EXIST TO ARBITRATE

Aparna, Padma, Arun, and Kiran and Geista have entered into valid agreements to arbitrate.¹¹ “The moving party bears the burden of producing prima facie evidence of an agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165 [internal citations and quotations omitted]). Here, Defendants have attached copies of the Arbitration Agreements to their motion and have thus met their prima facie burden of proving the existence of an agreement to arbitrate. (Katsury Decl., Exs. A-D). Aparna affixed her electronic signature to the Agreement on August 5, 2024. (Katsury Decl. at ¶ 1, Ex. A.) Kiran, Padma, and Arun executed their Agreements on August 4, August 10, and August 19, 2024 respectively. (*Id.* at ¶ 2, Ex. B-D). “A party’s acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement.” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777).

Plaintiff argues there is no mutual assent because Genista did not sign the Agreements. (Opposition at pp. 4:7-6:20). “However, the writing memorializing an arbitration agreement need not be signed by both parties in order to be upheld as a binding arbitration agreement.” (*Serafin v. Balco Properties, LLC* (2015) 235 Cal.App.4th 165, 176 (*Serafin*)). “[I]t is not the presence or absence of a signature which is dispositive; it is the presence or absence of evidence of an *agreement* to arbitrate which matters.” (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 361 [emphasis in original]). As with any other written agreement, “[a] party who has signed a written contract may be compelled specifically to perform it, though the other party has not signed it, if the latter has performed, or offers to perform on his part, and the case is otherwise proper for enforcing specific performance.” (Civ. Code § 3388). “Evidence confirming the existence of an agreement to arbitrate, despite an unsigned agreement, can be based, for example on conduct from which one could imply either ratification or implied acceptance of such a provision.” (*Serafin, supra*, 235 Cal.App.4th at p. 176 [internal citations and quotations omitted]). Conduct implying ratification nor acceptance of an agreement to arbitrate can include seeking to enforce the agreement or printing the arbitration agreement on company letterhead. (*Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 397-398 [citing *Lara v. Onsite Health, Inc.* (N.D. Cal. 2012) 896 F.Supp.2d 831 for the proposition that an intent to be bound can be shown by the fact that the agreement was printed on the company letterhead, the agreement was presented as part of the New Hire packet, and the language bound both parties to arbitration]). In addition, “[w]here an arbitration agreement includes a signature line for the employee to acknowledge assent to the agreement, the employee’s signature creates an express bilateral contract.” (*Mar v. Perkins* (2024) 102 Cal.App.5th 201, 213).

Here, the Arbitration Agreements are not printed on company letterhead, but consistently refer to “Employee, Worksite Employer, and Rippling PEO.” For example, the Agreements state “Employee, Worksite Employer and Rippling PEO agree that any claim and/or controversy that Employee may have against Worksite Employer, Rippling PEO, or Company Entities (as defined below), *or that Worksite Employer or Rippling PEO may have against Employee*, shall be submitted to and determined exclusively by binding arbitration.” (Katsury Decl., Exs. A-D [emphasis added]). This language demonstrates an intent for both parties to be bound by the Agreements. Furthermore, the Agreements include a signature line for the employees, which alone creates express bilateral contracts. (Reply at pp. 3:6-4:23). (*Mar, supra*, 102 Cal.App.5th at p. 213). Moreover, Genista has moved to arbitrate Aparna’s claims against it. Thus, Genista has offered to perform its end of the bargain which evidences its ratification of the Agreements. Therefore, the language of the Agreements and Genista’s attempt compel

¹¹ Defendants concede there is no agreement to arbitrate between Ravi and Genista as he is not a Genista employee.

arbitration are evidence of its intent to be bound by its terms. The lack of a signature does not preclude the existence of valid agreements to arbitrate.

B. THE SCOPE OF THE AGREEMENTS COVER PLAINTIFFS' CLAIMS

Although the scope of the Agreements includes employment related claims such as wrongful termination, discrimination, and harassment, the intent of the Agreements is broad. The Agreements clearly provide that they cover “*any* claim and/or controversy” that the parties may have against one another including “all disputes, whether based on tort, contract, statute[.]” (Katsury Decl., Exs. A-D). “When an arbitration clause is interpreted ‘broadly,’ it reaches every dispute between the parties having a significant relationship to the contract and all disputes having their origin or genesis in the contract.” (*Brinkley v. Monterey Financial Services, Inc.* (2015) 242 Cal.App.4th 314, 332 (Brinkley)[internal citations and quotations omitted]). In addition, the parties are not just required to arbitrate their claims against Genista, but also against each other. The Agreements provide:

Employee’s agreement to arbitrate claims against Worksite Employer or Rippling PEO includes claims that Employee may bring against Worksite Employer’s or Rippling PEO’s respective parent, subsidiary, affiliated or client entities as well as owners, directors, officers, managers, employees, agents, brokers, contractors, attorneys, including in their capacity as benefit plan administrators or fiduciaries to any employee benefit plan of which Employee is a participant or beneficiary, and insurers of Worksite Employer or Rippling PEO (“Company Entities”). (*Ibid.*).

Plaintiffs concede that Aparna’s employment-related claims (fifth through eleventh causes of action) are subject to arbitration. (Opposition at pp. 7:1-8:16; Reply at p. 5:23-6:1). Moreover, Defendants do not move to compel arbitration of the second through fourth causes of action to the extent they are brought by Ravi. (Defendant’s Motion to Compel Arbitration at p. 1:23-24.) Ravi is not an employee of Genista and has not executed an arbitration agreement with it. Defendant does, however, move to compel arbitration of the first and twelfth through fourteenth causes of action or the derivative claims brought by both Ravi and Aparna on behalf of Genista. (*Id.* at pp. 12:2-13:6).

Plaintiff admits that “the facts relating to the manipulation of Aparna’s salary by Defendants may be presented in connection with her Labor Code claims as well as her and Ravi’s minority shareholder oppression claims . . . those facts are still relevant to the oppression claim whether or not Aparna is able to prove Labor Code violations.” (Opposition at p. 10:6-10). As noted by Defendant, there is significant overlap between Aparna’s Labor Code claims and corporate governance claims. For example, the first cause of action for declaratory relief “targets Genista’s approval of an Investor Term Sheet that Aparna alleges was expressly tied to terminating her employment with Genista.” (Reply at p. 7:1-2 [citing FAC at ¶¶ 46, 57, 70, 76]). Similarly, the twelfth cause of action for breach of fiduciary duty, “is based on Aparna’s allegation that Defendants wrongfully approved an Investor Term Sheet that was engineered to force her exit as an employee[.]” (Reply at p. 7:16-17 [citing FAC at ¶¶ 46, 147]). As Defendant notes, “these claims are all premised, at least in part, on factual allegations that ‘touch’ Aparna’s contractual relationship with Genista.” (Reply at p. 6:23-24.) (*Brinkley, supra*, 242 Cal.App.4th at p. 332 [“Stated differently, [t]o require arbitration [a party’s] factual allegations need only ‘touch matters’ covered by the contract containing the arbitration clause and all doubts are to be resolved in favor of arbitrability.” (internal citations and quotations omitted)]).

Additionally, in a derivative action, the shareholders who file suit are merely nominal plaintiffs. (*Kloppstock v. Superior Court* (1941) 17 Cal.2d 13, 21.) The corporation “is the ultimate beneficiary of such a derivative suit.” (*Ibid.*). “The corporation [is] the real party plaintiff in the action.” (*Russell v. Weyand* (1935) 5 Cal.App.2d 259, 260). Thus, Genista is the real party in interest with respect to the derivative claims. Pursuant to the Arbitration

Agreements executed with Padma, Arun, and Karan, Genista is required to arbitrate its claims with them. (Reply at p. 9:3-6). Since the Arbitration Agreements are broad and the derivative claims belong to Genista, the twelfth through fourteenth causes of action also fall within the scope of the Agreements.

C. THE AGREEMENTS ARE NOT UNCONSCIONABLE

Defendants argue the Agreements may be enforced because they are not unconscionable. (Mtn. to Compel Arbitration at pp. 10:19-11:13). Although Plaintiffs do not contest the enforceability of the Agreements, the Court nevertheless considers the unconscionability arguments.

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126). Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129). The Court thus proceeds to consider whether the Agreements are procedurally and substantively unconscionable.

The Agreements here are standalone three-page documents and include a capitalized and bold-face disclaimer at the end stating that the parties agree to give up their right to trial by jury. Although only three pages long, the Agreements are nevertheless dense with legal jargon and statutory references that are difficult for a layperson to understand. (Katsury Decl, Exs. A-D [referring to the “National Relations Board”, the “Equal Employment Opportunity Commission”, “statute of limitations”, and “motion for summary judgment”]). (See *OTO, supra*, 8 Cal.5th at p. 128 [finding procedural unconscionability where the substance of the agreement was filled with statutory references and legal jargon]). While signed years after becoming an employee, the Agreements were still offered as a condition of employment. “[T]he cases uniformly agree that a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127). This type of contract of adhesion in the employment context adds a modest amount of procedural unconscionability. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248). Thus, a moderate degree of procedural unconscionability exists given its presentation and adhesive nature.

As for substantive unconscionability, the Agreements provide that the parties must select an arbitrator by mutual agreement. “Such an arbitrator shall be a retired federal judge or judge of the state court of general jurisdiction, or another qualified and impartial person that Employee and Worksite Employer or Rippling PEO decide upon.” (Katsury Decl., Exs. A-D). The Agreements further provide that the Federal Rules of Civil Procedure and Federal Rules of Evidence shall apply. (*Ibid.*). With respect to the costs of arbitration, the Agreements provide “[i]f employee works at a location within California, Worksite Employer or Rippling PEO will pay the arbitrator’s fees and other costs relating to the arbitration forum.” (*Ibid.*). However, the parties are expected to bear their own attorney’s fees unless the arbitrator shifts the party’s costs and fees in accordance with applicable law. (*Ibid.*). The Court does not find these terms to be substantively unconscionable. Given the low degree of procedural unconscionability and absence of substantive unconscionability, the Court concludes that the Agreements are enforceable.

D. STAY OF PROCEEDINGS

A stay of these proceedings is eminently proper under 9 U.S.C. section 3 until the completion of arbitration. “[T]he decision to stay the remaining nonarbitrable claims, is soundly vested in the court’s discretionary authority to control its docket.” (*Benson Pump Co. v. S. Cent Pool Supply* (D.Nev. 2004) 325 F.Supp.3d 1152, 1160).

As noted above, all of the causes of action, save for the second through fourth causes of action brought by Ravi, are arbitrable. Not only is there significant overlap between the joint causes of action brought by Ravi and Aparna, but as noted above, all of the claims are based in whole in part on Aparna's employment at Genista. (Reply at p. 7:20-21.) Staying the entire proceeding avoids the substantial risk of inconsistent rulings inherent in parallel proceedings, and thereby will advance rather than undermine the effectiveness and efficiency of this arbitration in harmony with the strong public policy objectives of the FAA.

IV. CONCLUSION

Based on the foregoing, the Motion to Compel Arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will provide the formal Order.

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